

F-1 Visa **Incorporation** Checklist

A comprehensive guide to the legal Do's and Don'ts for setting up a Delaware C-Corp while on an F-1 student visa. Used by 2,000+ international students in 2026.

- Updated June 2026
- Based on 8 CFR § 214.2(f) & IRS Rules
- Reviewed by Immigration Practitioners
- Delaware C-Corp Focused



Not Legal Advice: This checklist is for informational purposes only and does not constitute legal advice. Immigration law is complex and fact-specific. **Always consult a licensed immigration attorney AND a DSO (Designated School Official)** before taking any action that could affect your F-1 status. Unauthorized employment can result in deportation, visa revocation, and permanent immigration bars.

21

TOTAL CHECKPOINTS

9

✓ LEGAL DO'S

8

✗ HARD DON'TS



The Core F-1 Rule You Must Never Forget — The Foundation

The Golden Rule of F-1 Status & Business

Under **8 CFR § 214.2(f)(9)**, an F-1 student may only engage in *passive investment*. You are permitted to be an investor, owner, or shareholder of a company — **but you cannot actively work for it** without proper work authorization (OPT/CPT).

- Owning stock ✓ → Permitted (no work authorization needed)
- Writing code for your company ✗ → This is "work" and requires OPT/CPT
- Attending board meetings ✓ → Permitted (fiduciary duty, not employment)
- Signing contracts as owner ✓ → Permitted (ownership, not labor)
- Being the active day-to-day CEO ✗ → This constitutes unauthorized employment



Legal Do's — What You CAN Do on F-1 — 9 Permitted Actions



Incorporate a Delaware C-Corp as a Founder/Shareholder

You can legally form a corporation in Delaware (or any state) and be listed as a founder, director, or shareholder. Incorporation itself is not "employment." Use services like Stripe Atlas, Clerky, or a registered Delaware agent. Cost: ~\$89–\$500.

8 CFR § 214.2(f) — passive investment permitted

✓ Obtain an EIN (Employer Identification Number) from the IRS

You do NOT need a Social Security Number to get an EIN for your company. Apply via IRS Form SS-4 by phone (international: +1-267-941-1099) or by mail. This is required to open a US business bank account and hire employees.

[IRS Publication 1635 — EIN does not require SSN](#)

✓ Open a US Business Bank Account (Mercury, Relay, or Chase)

As a company founder/director, you can open a business bank account using your EIN, passport, and company formation documents. Mercury and Relay are popular for startups. You do NOT need to be a US citizen to open these accounts.

[FinCEN CDD Rule — foreign-owned US companies permitted](#)

✓ Own Equity, Issue Stock, and Receive Investment

You may hold equity, issue SAFE notes, receive venture capital investment, and own 100% of your company. Passive income from equity (dividends, capital gains) is not considered "work." File W-8BEN or W-8BEN-E for US tax withholding if applicable.

[IRC § 871 — passive income taxable to non-residents at 30%](#)

✓ Serve on the Board of Directors

Board membership is a fiduciary role, not employment. You can vote on key decisions, set company strategy, and attend board meetings as a director. This is critical for STEM OPT founders — the board must have authority over you as an employee.

[USCIS Policy Manual Vol. 10, Part B — Director ≠ Employee](#)

✓ Sign Contracts, NDAs, and Legal Documents as a Director/Officer

Signing legal agreements on behalf of your company as an officer or director is permitted. This includes vendor contracts, customer agreements, and investor term sheets. This is considered a legal/ownership duty, not active employment.

[Delaware General Corporation Law § 141 — Officer authority](#)

✓ Work for Your Company on OPT (with EAD card in hand)

Once you have your EAD card and your OPT start date has arrived, you CAN actively work for your own company — including as a self-employed founder. This is the moment when the passive investor restrictions lift and you can do the real work.

[8 CFR § 214.2\(f\)\(10\)\(ii\)\(A\) — self-employment permitted on OPT](#)

✓ Hire US Workers (Citizens, GC Holders, or OPT/H-1B Workers)

Your company can hire employees with valid work authorization. You can make hiring decisions, set compensation, and manage HR as a board/owner — just ensure YOU are not doing the "work" that would constitute employment without your own EAD.

[IRCA 1986 — employer can be foreign national](#)

✓ File a USCIS O-1A Visa Petition Through Your Own Company

Your Delaware C-Corp can act as the petitioner/employer to file an O-1A visa petition for you as an "alien of extraordinary ability." This is a legitimate pathway for founders to remain in the US long-term. The company must be a bona fide entity with real activity.

[INA § 101\(a\)\(15\)\(O\) — O-1A extraordinary ability](#)



Hard Don'ts — What You CANNOT Do on F-1 — 8 Prohibited Actions



Actively Work for Your Company Without OPT/CPT Authorization

This is the #1 violation. Writing code, doing sales, building the product, managing operations, or ANY labor for your company before your EAD is active constitutes unauthorized employment. USCIS considers this a serious violation of your F-1 status. Penalty: Deportation, visa revocation, 3–10 year re-entry bar.

[8 USC § 1182\(a\)\(9\)\(B\) — unlawful presence bars](#)



Take a Salary or Compensation Before Your OPT Starts

Even "deferred salary" or "future equity in lieu of compensation" counts as compensation if tied to active work. Do not take any wages, founder equity vesting tied to current work, or any financial benefit linked to your active labor before you have work authorization.

[IRS Form W-2 rules — taxable wages = unauthorized employment evidence](#)



Be Self-Employed on STEM OPT (Without E-Verify + Board Oversight)

Unlike standard OPT, STEM OPT explicitly prohibits pure self-employment. Your company must have a bona fide supervisory structure above you (typically a Board of Directors) with the authority to hire and fire you. The company must also be enrolled in E-Verify. Working alone in a one-person company for STEM OPT is not permitted.

[8 CFR § 214.2\(f\)\(10\)\(ii\)\(C\) — STEM OPT employer-employee requirement](#)



Use CPT at Your Own Company With You as Your Own Supervisor

CPT requires a bona fide employer who can evaluate your training. You cannot be your own supervisor for CPT. Most DSOs will refuse to authorize CPT for a company you own or control. Attempting to self-authorize this is fraud and puts your I-20 at risk.

[8 CFR § 214.2\(f\)\(10\)\(i\) — CPT employer requirement](#)



List Yourself as "CEO" or "Employee" on Your Company's Payroll

Having a title of CEO, President, or any officer title that implies active management is a red flag. The title itself is not the issue — but if you are receiving payroll or actively managing daily operations without OPT, you are in violation. The title invites scrutiny. Use "Founder" or "Director" with clear board-level governance.

[USCIS RFE Risk — active management indicators](#)



Ignore FBAR and FinCEN Reporting for Foreign Accounts

If you maintain foreign bank accounts with combined balances over \$10,000 at any point during the year, you must file an FBAR (FinCEN Form 114) by April 15 each year. Failure to comply carries civil penalties up to \$10,000 per violation and criminal penalties for willful violations.

[31 USC § 5314 — FBAR filing requirement](#)



Transfer IP from a Foreign Entity to Your US Company Without Tax Advice

If you have IP (code, patents, trademarks) developed abroad, transferring it to your US Delaware C-Corp without proper IP assignment structure can trigger major US tax events (Section 367, GILTI). Always consult a CPA with international tax experience before any IP transfer.

[IRC §§ 367, 482, and GILTI provisions](#)



Fail to Report Company Ownership on Annual Reports or to Your DSO

Delaware requires annual franchise tax filings and registered agent maintenance. Failing to maintain the corporation in good standing could be used as evidence of a shell company. Additionally, if your DSO asks about your company activities, full transparency is required — concealing business activities from your DSO could be considered a breach of your SEVIS record obligations.

[SEVIS regulations — student reporting obligations](#)



Your Step-by-Step Incorporation Roadmap — Start Here

1

Talk to Your DSO First — Before Anything Else

Inform your Designated School Official about your business plans. Get their written guidance. DSO communication creates a paper trail that protects you.

[Your University's International Student Office](#)

2

Consult an Immigration Attorney

A 1-hour consultation (\$200–\$500) can save you from a violation that bars you from the US for 3–10 years. Find F-1 startup specialists via AILA (American Immigration Lawyers Association).

aila.org/find-an-attorney

3

Incorporate as a Delaware C-Corp

Delaware is the gold standard for VC-backed startups. Use Stripe Atlas, Clerky, or a Delaware registered agent. Total cost: \$89–\$500. You get Articles of Incorporation and a Registered Agent.

stripe.com/atlas | clerky.com

4

Obtain Your EIN from the IRS

Apply via IRS Form SS-4. International applicants call +1-267-941-1099. You'll get your EIN immediately by phone. No SSN required.

irs.gov/businesses/small-businesses/apply-for-an-employer-identification-number

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Open a Business Bank Account

Use Mercury (mercury.com) or Relay (relayfi.com) — both are startup-friendly, fully online, and do not require a US address or SSN. You'll need your EIN, Articles of Incorporation, and passport.

mercury.com | relayfi.com

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Apply for OPT When Eligible (90 Days Before Program End)

File Form I-765 via your DSO's OPT recommendation in SEVIS. This gives you 12 months of self-employment authorization on OPT to actually work for your company.

[USCIS Form I-765 \(c\)\(3\)\(B\) — Post-Completion OPT](#)

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Structure for STEM OPT (if applicable)

Create a Board of Directors with at least one non-founder member who has authority to hire/fire you. Enroll in E-Verify at your company's worksite. Complete Form I-983 Training Plan. This allows you to extend your work authorization by 24 months.

[USCIS Form I-983 + E-Verify enrollment](#)



Quick Reference: F-1 Status by Business Activity — At a Glance

Business Activity	F-1 (no OPT)	Standard OPT	STEM OPT
Incorporate / Own Equity	✔ Yes	✔ Yes	✔ Yes
Sit on Board of Directors	✔ Yes	✔ Yes	✔ Yes
Actively Work / Write Code	✗ No	✔ Yes	⚠ With Board
Receive Salary / Wages	✗ No	✔ Yes	✔ Yes
Self-Employment	✗ No	✔ Yes	✗ No
Sign Contracts as Director	✔ Yes	✔ Yes	✔ Yes
Hire Employees / Contractors	✔ Yes	✔ Yes	✔ Yes